Naidu was travelling in Nandyal, and the way he was presented at daybreak the next day before a magistrate for judicial remand has raised eyebrows. The APCID, presenting the remand report, argued there is prima facie evidence that Naidu—he was arraigned in the FIR as the 37th accused—was the chief architect of the offence. It alleged that Naidu and the TDP were the ultimate beneficiaries.

The APSSDC was formed without getting the approval of the state cabinet, say investigators. They allege that it was kept under the control of the state higher education department with an intention to misappropriate funds under cover of the skill development project, with then minister K. Atchannaidu, now the TDP Andhra Pradesh unit president, and others allegedly in charge. The APCID says that these men colluded with Soumyadri Shekar Bose, managing director, Siemens Industry Software (India), and Vikas Vinayak Khanvelkar, managing director, Design Tech, Pune, who parked the stash. The two entities were tasked to develop six centres of excellence for skill development.

The APCID probe has revealed several irregularities, including no project approval from the state cabinet, absence of a tendering process and the siphoning of funds allocated for the project into shell companies. The investigation so far has established that the total cost of the project, excluding taxes, was falsely projected at Rs 3, 281 crore.

Furthermore, it has been found that before any expenditure was incurred by the two firms—they were to bear 90 per cent of the project cost—the state government, through APSSDC, advanced them an amount of Rs 370.78 crore, accounting for the entire 10 per cent to be provided by the state. Most of the advance amount was allegedly diverted to shell companies through fake invoices.

Expectedly, the TDP has cried political vendetta and alleged that the whole affair was cooked up at the behest of Andhra chief minister Y.S. Jagan Mohan Reddy for political gains in the run-up to the 2024 assembly polls. If Naidu does not get bail anytime soon, it might demoralise the TDP, which has no leader of comparable stature. Protests by the TDP rank and file also couldn't gather momentum, as large-scale police deployment and the imposition of Section 144 of the Criminal Procedure Code curbed their mobility. Anticipating trouble during the statewide bandh called by the TDP on September 11, many state- and district-level TDP leaders, including 21 of its MLAs, were put under house arrest.

Naidu has had the TDP firmly under his control ever since he upstaged his father-in-law, party-founder N.T. Rama Rao, to become CM for the first time in 1995. In recent years, his biggest challenge has been to offset the debacle the ruling TDP faced in the 2019 assembly and parliamentary polls. Jagan Reddy's Yuvajana Sramika Rythu Congress Party (YSRCP) achieved a landslide



MOHAMMED ALEEMUDDIN

NAIDU IS ACCUSED OF BEING THE MAIN ARCHITECT IN THE SKILL DEVELOPMENT SCAM

UNDER THE NET
TDP chief N. Chandrababu Naidu being taken to prison, Sept. 10